CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **COST PER COPY DETERMINATION POLICY**					
	INICIO VIGENCIA			VERSION	
REF: BISGSAM 001/18	DIA	MES	AÑO		PAGINA 1 DE 3
	31	05	18	**1 .0**	

OBJECTIVE

Establish the guidelines to determine the cost per copy of the equipments commercialized by BISG, and set the review periodicity

SCOPE

All the equipments of BISG portfolio and impacting directly Direct Sales channel.

POLICIES

1. The responsibility for determining the cost per copy is from Service Account Management, whose methodology is based on the same methodology used by CUSA.

2. The information is obtained directly from the Service Guides published by CUSA through the following websites:
   a.E-Support
   b.ISG Central

3. The cost information of the different components, is responsability of the following areas
   a.Toner & Drum – Marketing
   b.Sparte Parts & Labor – Service

ELABORADO POR	REVISADO POR:	AUTORIZADO POR:
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FECHA: 30/05/2018	FECHA: 30/05/2018	FECHA: 30/05/2018

4. For the determination of the cost per copy, the following is considered:
   a. Labor:
      i. Estimated number of visits
      ii. Time invested in each visit
      iii. Labor cost
   b. Spare Parts:
      i. Cost / Yield
   c. Toner and Drum:
      i. Cost / Yield

5. By default, the volumen that is considered in the standard cost per copy structure analysis is the minimum recommended volume.

6. By default, the percentage of coverage that is used in the calculation is 5%.

7. All the information is considered in USD

8. The click structure is based on the following layers:
   a. CMEX Cost
   b. Dealer Cost
      i. Average GP in Spare Parts = 38%
      ii. Average GP in Supplies = 42%
   c. Dealer Payment
      i. Granted GP = 30%
   d. Customer Price (suggested)
      i. Granted GP = 12%

9. Each time there is a product launch, SAM analyst must analyze and generate the structure, Supervisor must validate it and Manager must authorize it.

10. Once authorized, is must be shared with Sales Administration area.

11. Sales Administration has the autonomy to determine the Service GP level, according to the Project that is being analyzed.

12. Whenever it is required to make a modification in the variables of the structure, this must be requested directly to SAM so that it is reviewed and the applicable cost per copy is established

13. The cost structures generated are those that should govern all catalogs o that are used for purposes of quotation.

14. Every 6 months, SAM must perform an analysis of the real costs of each model and determine if the current structures should be updated according to the actual behavior and the find outs.

15. In relation to the Dealer Payment, SAM is responsible for issuing the price list that will be shared with all the Dealers, which is based on the Payment to Dealer layer in USD and for which the TC determined by the Manager of SAM.

16. The price list of Payment to Dealer is established in MXN, and SAM is in charge of monitoring the behavior of the exchange rate on a quarterly basis; if there is a variation of + 10.00% / - 5.00% sustained vs. the exchange rate used in the previous issue, the list must be updated, after notifying the Distributor 15 days in advance